more than a banker's narrow vision. As Parekh put it, 'The operations of the development bank need to be carried out, not in a mechanical, routine manner, but with imagination and understanding.'[14]

However, despite the best intentions of all concerned, miscalculations on the part of government as well as industry cannot always be eliminated, and this results in doubtful or distorted investments. Also, market forces are never easy to read and any misreading exacts its own price. The Indian experience in the 1960s and 1970s mirrored some of these concerns. Capacities came to be set up through a number of small dispersed units which went into production at about the same time. On the other hand, demand failed to grow as estimated by the planners. Several entrepreneurs who entered industry for the first time could not survive the crisis and fell by the wayside. Planning was often based on simplistic calculations of growth of demand, on isolated rather than integrated assessment. In the 1960s, this happened, for example, in the case of cast-iron spun pipes, electric meters, wire ropes, etc. In the 1970s, it was the rubber tyre manufacturing industry, glass containers, etc. in which new capacity came into production at a time when the demand had not kept pace. Sectoral imbalances also appeared from time to time to interrupt the growth of the economy. To this were added other factors such as cost overruns, unremunerative prices, poor profitability, and inadequate management. Over-licensing was in part based on the assumption that not all units licensed would come up. All those involved learnt their lessons the hard way. Planning and licensing by no means eliminated risk; they sometimes even increased it.[15]

The major problem facing the country when Mehta joined ICICI was the foreign currency crisis of 1957–58. The country's large sterling balances accumulated during the war were soon exhausted, and the demand for foreign exchange increased so fast after 1959 that ICICI required additional credit from the World Bank and also from other agencies such as the West German Kreditanstalt fur Wiederaufbau (KfW). In the first decade, about half of ICICI's sanctions were in foreign currencies. Part of this could be explained by the fact that ICICI was established just about the time that the Industrial Policy Resolution of 1956 was framed which gave the highest priority to the country's industrial development with a generous licensing policy.